

5. How depreciation is calculated.
6. How stock, including finished goods, work in progress, raw materials and consumable goods are valued.
7. How investments are stated in the balance sheet.
8. How has the foreign exchange translated?

Contingent Liabilities

As noted earlier, contingent liabilities are liabilities that might crystallize upon the happening of an uncertain event. All contingent liabilities are detailed in the notes to the accounts and it would be wise to read these as they give valuable insights. The more common contingent liabilities that one comes across in the financial statements of companies are:

1. Outstanding guarantees.
2. Outstanding letters of credit.
3. Outstanding bills discounted.
4. Claims against the company not acknowledged as debts.
5. Claims for taxes.
6. Cheques discounted.
7. Uncalled liability on partly paid shares and debentures.

Others

It must be appreciated that the purpose of notes to the accounts is to inform the reader more fully. Consequently, they detail all pertinent factors which affect, or will affect, the company and its results. Often as a consequence, adjustments may need to be made to the accounts to unearth the true results.

Note 6 of Fundamental & Co. Ltd.'s Annual Report for 2009-2010 stated: "The Company has during the year credited an amount of Rs. 132.14 lakh to surplus on sale of assets (Schedule No. 13) which included an amount of Rs. 112.88 lakh being the excess of sale price over the original cost of the fixed assets. Till the accounting year 2008-2009, such excess over the original cost was credited to capital reserve. Had the Company followed the earlier method of accounting the profit for the year would have been lower by Rs. 112.88 lakh." This suggests that the company had changed its